

RISE IN COSTS

Auto ancillary makers are contending with sharply increasing prices of key raw materials

Material	Usage as auto part	Price impact
Steel	On average, 900 kg of steel is used in a car—in its chassis, roof, body, door panels, the beams between doors, and often in mufflers and exhaust pipes	The price of steel has gone up in India by ₹14,000 per tonne
Plastics	Petroleum is the raw material for plastic components in cars. About 151 kg, or 8 per cent of the vehicle's weight and 50 per cent of the volume materials—door handles, air vents, dashboard, airbags—are made with plastic and composite materials	Brent crude oil prices crossed \$120 per barrel recently, the highest since 2012, impacting a number of manufacturing processes
Aluminium and Nickel	Around 466 pounds of aluminium and other metals are used in a car. Wheels and other critical parts like engine blocks are commonly made of aluminium	Aluminium prices are up by 40 per cent while nickel prices have increased by over 100 per cent
Rubber	Rubber is used to make tyres, belts, hoses and seals, which are critical to the functioning of a car's engine	The prices of tyre-grade variety RSS-4 have moved up by over 7 per cent to ₹172 per kg in a month



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DEEPAK JAIN
CHAIRMAN & MD, LUMAX INDUSTRIES



Increase in prices of commodities like steel will definitely impact the profitability of the industry and the viability of the smaller players

VINNIE MEHTA
DIRECTOR GENERAL, ACMA

orders that it is unable to fulfil due to the shortages.

AUTO ANCILLARY companies that are into electric vehicles and battery manufacturing are among the worst hit. Venkat Rajaraman, Founder and CEO of lithium-ion battery pack maker Cygni Energy, says many OEMs have slowed production, and the delays have gone as high as eight to 12 months. "The big impact we are seeing is in semiconductor chip manufacturing, because Russia and Ukraine are key producers for some of the raw materi-

als needed, and we do see that impact already. All the metal prices have gone up and we definitely expect short-term volatility. We see a clear supply-chain issue due to this ongoing crisis," he says.

Delhi-based Trontek is one of the largest importers of lithium-ion batteries in India for manufacturing its electric two- and three-wheelers. "Global OEMs from Europe and the US most likely use China for bulk orders, as China is among the five top countries with the most lithium resources. And India is still at the nascent stage and a developing market for EVs, therefore the share of Indian battery players with regard to the overall global ecosystem is quite low. The Indian players have less purchasing leverages as the major share of the supplies goes to Europe and the US," says Samrath Kochhar, Founder and CEO of Trontek. He expects the increase in cost of batteries to reflect in the cost of manufacturing EVs by May. Given that the battery is the most expensive component, all the OEMs will be forced to pass on the prices to consumers.

Rajaraman adds that India has an opportunity to lead the EV transition because India is a big market and also has top software talent. "Electric vehicles are going to be very heavily software-enabled, IoT-enabled and connectivity-enabled. We may be importing lithium-ion cells for some time from China and other countries, but India can lead the software aspect of it, which can help in terms of manufacturing capability," he says.

Auto parts makers say the only way to strengthen their supply chains after battling the 5Cs is localisation. "The auto components industry has been battered by the 5Cs. We'll have to invest in our competencies and ensure that we become more self-reliant and robust. There are challenges, but there are opportunities as well. The industry is likely to see more collaboration, more tech absorption, and more agility and speed to transform itself, and that's the way towards its long-term sustenance," says Jain. **BT**

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